REGISTERED NUMBER: 13161421 (England and Wales)

STRATEGIC REPORT,

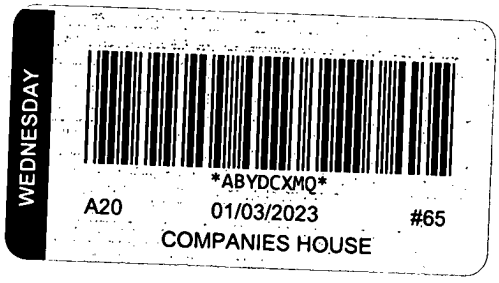
REPORT OF THE DIRECTORS AND

FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2022

FOR

PHOENIX 2021 LIMITED



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FOR THE YEAR ENDED 30 JUNE 2022

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PHOENIX 2021 LIMITED

COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2022

Directors:	Mr T Mubarak Al Hammad Mr M Brannigan Mr O Gottmann Mr T Markham
Registered office:	DW Stadium Loire Drive Robin Park Wigan WN5 0UZ
Registered number:	13161421 (England and Wales)
Auditors:	NRB 1st Floor Waterside House Waterside Drive Wigan Lancashire WN3 5AZ
Bankers:	Barclays Bank Plc Victoria House Wigan Lancashire WN1 1QS

STRATEGIC REPORT
FOR THE YEAR ENDED 30 JUNE 2022

The directors present their strategic report for the year ended 30 June 2022.

Review of business
In contrast to the Strategic Reports of the past couple of years, the future of the Club is certainly more assured and stable since Phoenix 2021 Limited gained ownership from the administrators less than two years ago. It has allowed the Club to be structured on a more solid footing, although as with all businesses, operating in a near start-up environment and following COVID, some decisions made have not always delivered the anticipated outcomes. I hope that all supporters and staff can see though that any decision made, in the past and in the future, will continue to be made with the Club's best intentions at its core.

As seems to be the habit of Wigan Athletic, the 2021/22 season was certainly another one filled with emotion, which saw at its conclusion the Club reinstated to the Championship division, this being the division it was a part of prior to administration. Much has been written and debated about the Club's previous ownership group, the impact of entering administration through the fault of no one at the Club and the pandemic that affected the sport as a whole, which will all no doubt continue long into the future. However, it is the manner in which this Club and its fanbase reacted to this adversity before openly welcoming Mr Al Jasmi, myself and the Board of Phoenix 2021 Limited as the new ownership group that illustrated the resolve and optimism that all Tics have for their Club.

Having secured League 1 status following the penultimate game of the 2020/21 season, the task of assembling a squad to compete for the upcoming season could well have been a daunting one, given that the team had only three recognised First Team players still registered. By the time the transfer window closed at the end of August 2021, the addition of eighteen more players to the squad saw a true combination of energy and experience and a belief that the team would certainly be a competitive one.

With Jamie Jones, Tendayi Darikwa and Will Keane all being retained on new contracts, Jack Whatmough became the first of the new signings to arrive at the DW Stadium, with Ben Amos, Max Power, Tom Naylor, Jordan Cousins, Jordan Jones, Gwion Edwards, Stephen Humphrys and Charlie Wyke all following suit, prior to the season opener at Sunderland. Joe Bennett, Jason Kerr, James McClean and Curtis Tilt became permanent additions and Tom Bayliss and Kell Watts were signed on season-long loans, all before the end of the summer transfer window.

The first home league game against Rotherham not only welcomed fans back to the DW Stadium for the first time in over a year, as the restrictions on movement were relaxed, but also gave the same fans the first opportunity to meet the Club's new owner, Mr Al Jasmi. The atmosphere, as Latics fans demonstrated their appreciation to Mr Al Jasmi and the welcome I received as I walked onto the pitch prior to the game, was marginally bettered in the game's last few seconds with Will Keane scoring the only goal of the game and the team collecting its first win of the season.

As the calendar year closed, Latics amassed sufficient points to see them sitting in second place in League 1, having delivered some fantastic results in that period, including a comprehensive victory at the home of the Club's closest rivals, Bolton Wanderers.

Having achieved this position somewhat ahead of expectations and facing a second half of the season that was beginning to look extremely congested, due to the welcome progression in both the FA Cup and the Papa Johns Trophy, as well as a number of games postponed due to COVID, the Board strengthened the squad in the January transfer window by permanently signing Josh Magennis, Graeme Shinnie and Jamie McGrath along with signing Glen Rae on loan from Luton Town, all with the sole purpose of bringing added depth and quality to the squad: it was going to be gruelling second half of the season and an extremely demanding for the players.

The Board felt that given the fantastic start to the season, in relation to some of our promotion challengers, this opportunity to push for promotion was too good to pass by without giving the team the best possible chance to succeed.

The victories continued, and Latics looked certain to get over the line as Champions. However, in true Wigan style, the run in was never going to become a dull formality and by failing to win in any of the five league games prior to the last game of the season, it all rested on the result of the final 90 minutes, knowing that victory would seal promotion as Champions but defeat could see the team dropping into the dreaded lottery of the playoffs.

The scene was set for a memorable final game of the season away at Shrewsbury. I felt privileged and honoured to have witnessed the first and last wins of the campaign, along with the travelling army of fans, as the First Team got the job completed, after a 3-0 victory.

A phenomenal result after an incredible and unbelievable journey and just reward for all the hard work from everyone involved with the Club.

STRATEGIC REPORT
FOR THE YEAR ENDED 30 JUNE 2022

In just over twelve months, the Club had been rescued from administration, survived relegation to League 2 by a single point, been crowned Champions of League 1 and consequently promoted back to the Championship for the third time in seven seasons.

The celebrations could begin and they certainly did, with more than 3,000 fans braving the inclement weather to join the Latics squad in honouring their heroic achievements, once again defying the odds, at the 'Party in the Park'.

Latics deservedly finished as Champions, having achieved 92 points, becoming the League's top scorers with 82 goals and the joint second-best defence in the division, conceding less than a goal a game. The team also reached the third round of the Carabao Cup, the fourth round of the Emirates FA Cup and the semi-final of the Papa Johns Trophy.

The season was not without its low points though and one deserves a mention above all others, because of the incredibly positive outcome.

The Club will be forever indebted to both Leam Richardson and Dr Jonathan Tobin, whose quick thinking and professionalism saved Charlie Wyke's life: it is as simple as that, after the striker suffered a cardiac arrest during training in November 2021. Having sat out the rest of the season, Charlie's return to the First Team in 2022/23 came as a result of his and the medical department's determination to get him there. The way the whole squad responded to this incident, playing a match the following day with ultimate professionalism and determination, is testament to the spirit of Wigan Athletic.

Away from the activities on the pitch, all supporters of the Club responded positively to the initiatives the new ownership group implemented.

All revenue streams have remained strong and in most instances they have improved, when compared to pre-pandemic numbers, especially on season tickets and match day hospitality. These were enhanced by the introduction of the #BELIEVE FansFund and By Official Appointment programme, which became a first in English Football and was recognised as the Best Innovative Fan Engagement initiative not only by the football industry at the 2022 Football Business Awards but also by the whole of the sports industry at the Sports Industry Awards in 2022.

The support of our Commercial Partners Puma, Westwood Motors, Kingdom Group, 3PL, Stadimax, Football Manager and EPIC is integral to what the Club has been able to achieve this year as has the co-operation of Wigan Council and the Supporters Club. None of this goes unnoticed and is very much appreciated.

The support from the terraces, both home and away, drove the Club forward during the whole of the season and was instrumental in delivering silverware, in the form of the League 1 title.

The 2021/22 season was simply unique.

The 2022/23 season is also shaping up to be one where the team has plenty to fight for, although it is a battle for the retention of its Championship status rather than a chase for another title. In summary, as the detail will be delivered in next year's Strategic Report, the season's early form was good and it could be argued that the number of points gained then has masked a very poor set of performances since, resulting in the replacement of the First Team Manager on two occasions within a relatively short period of time.

With regards to Leam Richardson, I believe that the supporters will feel forever in debt to him for what he achieved, on and off the pitch, during the most testing and unique times at the Club. To have faced an administration, the impact of the COVID pandemic, a points-induced relegation, a battle like no other to build two teams in two different seasons, a change of ownership and an unprecedented medical situation on the training ground before successfully delivering a promotion will never be underestimated. There are many other achievements during Leam's time at the Club which will be documented elsewhere. The dedication of Leam Richardson and James Beattie, who left with Leam in November 2022, in delivering the Club back to the Championship will mean that they will always be held in high esteem.

The decision to change the First Team Management Group in January 2023 and so soon after the previous change was never a simple or impulsive decision and the Board will be grateful for the efforts made by Kolo Touré, Kevin Betsy and Ashvir Singh Johal in trying to stabilise the team's performance.

The Board understands its responsibility as the Custodian of Wigan Athletic and remains committed to establishing the Club as a financially stable Championship football Club, at the very least.

The appointments of Shaun Maloney as the Club's First Team Manager, Graham Barrow and Max Rogers as First Team Coaches as well as the retention of Rob Kelly and Darryl Flahavan as First Team Coach and First Team Goalkeeping Coach respectively has brought much-needed steadiness. The performances have portrayed this in a very short period of time and there is genuine belief that the team will retain its place in the Championship division for the 2023/24 season. The Board certainly feels as though the Club has a real fighting chance.

The Academy, led by Gregor Rioch and his staff, are also starting to see the impact of the renewed investment into the Academy and its facilities, not only from the Board but also significantly from the #BELIEVE FansFund. FansFund members, through their ability to vote, have to-date delivered more than 70% of all subscriptions monies raised to the Academy. Academy graduates are starting to collect First Team appearances again and the future of such an integral part of the Club's infrastructure looks extremely promising once more, with Charlie Hughes' progression being the latest example of this.

The Club has also had to deal with great sadness in recent months, and none more so than when we received the news that our dear Colleague and Friend Tom Flower had died after a very short illness. Tom spearheaded the growth of the Club's charitable arm, Wigan Athletic FC Community Trust, to a position where it regularly won the North West Football Award's Community Trust of the Year accolade, including this year. It was just reward for the work carried out by Tom and his team in our town and the surrounding area and I know that this will continue. Tom will be fondly remembered and forever in our hearts. I would also like to positively acknowledge the tremendous work of the Trust for their tireless work in helping to improve the community that the Club is so proud to be a part of.

On behalf of the owner Mr Al-Jasmi and my fellow Directors of Phoenix 2021 Limited, I would like to place on record our thanks to all football staff, players, and all staff at the DW Stadium, Christopher Park Training ground and Stadium Way Academy who continue to work tirelessly to improve our football club.

It is sincerely appreciated.

The Directors consider that the financial results for the year to 30 June 2022 are satisfactory.
A financial loss of £7.7 million was recorded for the year.

Income
Turnover for the year was £8.3 million. £2.2 million of this came from EFL distributions and Premier League solidarity. Matchday and season ticket sales were £2.2 million, with £1.1 million generated from commercial and sponsorship activities. The remaining turnover was derived mainly from retail, stadium hire fees, match streaming sales and academy grants.

Administrative Expenses
Total administrative expenditure was £18.0 million. Salary costs for staff and players of £13.0 million represented 72% of this figure and was 156% of income. This was due to the salary cost of building a squad capable of promotion during a period when COVID was still negatively impacting on income. The remaining expenses relate to the operation of the football club, as well as the facilities at the DW Stadium, Christopher Park and Stadium Way Academy sites.

The Directors are committed to maintaining costs at stable levels to ensure that losses remain within the parameters of the EFL financial regulations, and the requirements set by the ownership group, even if this is as a result of investing in the stadium to reduce costs in the medium to long-term.

Player Trading and Investment
During the year the Company generated a profit from the sale of players of £2.8 million. The vast majority of this came from contingent income and sell on fees from players sold in previous financial years. Most notably the sale of Dan Burn from Brighton to Newcastle United assisted towards this figure. Profits during the period from player trading has aided the company in absorbing some of the costs in assembling a squad capable of promotion. While player trading at times may be unpopular, it is an integral part of the business model that underpins the stability and growth of the Club.
For reference, Phoenix 2021 Limited retains all the contingent income rights for players sold prior to its period of owning the Club.

Loss for the Period
The change of ownership in March 2021 allowed the Club to incur the £7.7 million losses sustained in the period, and it also stabilised it's future by intending to fund future commitments as equity rather than debt, which is a departure from previous ownership groups.

Future Outlook
The Board of Directors aspire to utilise the resources at its disposal at any point in time to achieve the highest possible league position and success in cup competitions for the First Team whilst at the same time employing prudent financial management to ensure a stable future. The Academy has been a key element of our identity as a football club and to our on-field performance and therefore investment into the Academy operations is a crucial element of our strategy.

As part of the long-term player-trading strategy, the transition of Academy players to the First Team will help reduce expenditure on player transfers and create organic growth within our player-trading model, with the intention of increasing the strength and depth of the squad over time. The Directors continued to invest in player recruitment resources, to ensure that the Club can attract and retain the best football talent available within an agreed budget.

KEY PERFORMANCE INDICATORS
Key performance indicators are used by the Directors to measure and evaluate the Company's performance and to monitor its various activities. The principal key performance indicators employed by the Company are:

	2022 £m	2021 £m
Turnover	8.3	0.7
Staff costs	(13.0)	(1.5)
Operating loss	(10.5)	(1.5)
Profit on sales of players' registrations	2.8	0.9
Net loss before taxation	(7.7)	(0.6)
Shareholders' funds	0.19	3.1

	2022 Numbers	2021 Numbers
Average league attendance	10,343	0
Final league position	1st	20th

Risks and uncertainties
The Board is responsible for continually assessing the risks applicable to the business, with the key risk always being the uncertainty of achieving football success on the field and the consequential significant impact on revenue from central distributions, sponsorship and ticketing.

The Company seeks to de-risk this uncertainty by:

- Utilising modern player recruitment techniques to attract the best players within our resources;
- Continued investment into the Club's Academy to assist the progression of young talented players to the First Team; and
- Utilising up-to-date analysis and performance measurement tools to assist coaching staff to achieve the best results possible.

Other risks, including financial constraints, commercial and health and safety issues are managed via regular internal management meetings, the use of professional advisors and information and advice received from the Football Association and The EFL. The Company works to ensure that every match held at the DW Stadium fully meets all the health and safety criteria for the operation of football grounds.

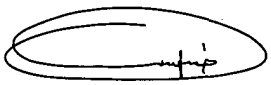
Financial risk management

The Company is exposed to financial risk through its ability to successfully manage its financial assets and liabilities with the key financial indicator being cash flow: the ability to control a positive cash balance and generate proceeds greater than obligations arising from liabilities as they fall due. The other components of the Company's financial risk are interest rate risk and currency risk.

The Company addresses cash flow risk by carefully managing its working capital inflows and outflows and ensuring, via regular updating of its forecasts, that the necessary facilities are available to finance the working capital position from funding from its ultimate parent company, EPIC.

The Company does not consider that the size of its interest rate exposure warrants the hedging of potential interest rate charges. The Company is exposed to occasional foreign currency exchange risks through its player transactions but does not hedge against this risk because of the infrequency/size of the transactions.

On behalf of the Board:



Mr T A Hammad - Chairman

28 February 2023

REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 30 JUNE 2022

The directors present their report with the financial statements of the company for the year ended 30 June 2022.

Principal activity
The principal activity of the company is that of a professional football club.

Directors
The directors shown below have held office during the whole of the period from 1 July 2021 to the date of this report.

Mr T Mubarak Al Hammad
Mr M Brannigan
Mr O Gottmann
Mr T Markham

Other changes in directors holding office are as follows:

Mr R E Bramwell - resigned 18 June 2022

Going concern
The company is dependant on financial support from its ultimate controlling party Mr Abdulrahman Al Jasmi.

Mr Al Jasmi has ultimate control by way of his shareholding in Europa Point Investment Corporation Limited, a company registered in Gibraltar, the parent company of Phoenix 2021 Limited.

The written support covers a period of over 12 months from the date of these accounts.

The directors acknowledge that this support is not legally binding.

On this basis, together with recent trading results and forecasts, the directors consider it appropriate to prepare the financial statements on a going concern basis (see note 2 of the financial statements).

Company's policy on employees
The company is committed to ensuring that it complies with all relevant legislation, in connection with unlawful or unfair discrimination of any kind in its business.

It is the company's policy to provide opportunities for disabled persons to have meaningful employment in the business and to make its facilities available to disabled supporters as far as possible, within the constraints of a concern for the health and safety of all its staff and customers.

Regular meetings are held involving directors and management to convey information to employees regarding company performance and other factors affecting the business.

Statement of directors' responsibilities
The directors are responsible for preparing the Strategic Report, the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

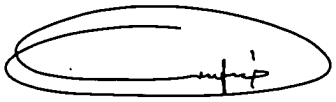
The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 30 JUNE 2022

Statement as to disclosure of information to auditors
So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information.

This report has been prepared in accordance with the provisions of Part 15 of the Companies Act 2006 relating to small companies.

On behalf of the Board:



Mr T Al Hammad - Chairman

28 February 2023

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF PHOENIX 2021 LIMITED

Opinion

We have audited the financial statements of Phoenix 2021 Limited (the 'company') for the year ended 30 June 2022 which comprise the Statement of Comprehensive Income, Balance Sheet, Statement of Changes in Equity, Cash Flow Statement and Notes to the Cash Flow Statement, Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty relating to going concern

We draw attention to note 2 in the financial statements which indicates that the company is reliant on the support of its ultimate controlling party Mr Abdulrahman Al Jasmi and any change to this support may cast significant doubt on the entity's ability to continue as a going concern. These conditions indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Other information

The directors are responsible for the other information. The other information comprises the information in the Strategic Report and the Report of the Directors, but does not include the financial statements and our Report of the Auditors thereon.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Report of the Directors have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Report of the Directors.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:
- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to take advantage of the small companies' exemption from the requirement to prepare a Strategic Report or in preparing the Report of the Directors.

Responsibilities of directors
As explained more fully in the Statement of Directors' Responsibilities set out on page seven, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a Report of the Auditors that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

- Consideration was given at all times to the entity's susceptibility to material misstatement including consideration of how fraud could occur. This involved considerations of the nature of the entity's activities and transactions with the potential identification of fraud at all times

- Identification of key laws and regulations considered to central to the entity, including a review of any policies and procedures in place to ensure compliance. The key laws and regulations impacting the company are deemed to be compliance with Companies House & HMRC regulations as well as general health & safety legislation. Additionally the company is subject to the EFL regulations, specifically FFP regulations

- Ensured that the engagement team had the necessary competence and capabilities to identify any examples of non-compliance at all stages

- Audit work was completed in all relevant areas that was deemed to be appropriate for the client and the associated risks in respect of potential misstatements, including fraud. Our audit work was designed to assess these risks in all areas and included enquiry of management, review of financial statement disclosures and tracing to relevant documentation as well as the consideration of the risk of potential management override

Due to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, as with any audit, there remained a higher risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. We are not responsible for preventing fraud or non-compliance with laws and regulations and cannot be expected to detect all fraud and non-compliance with laws and regulations.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our Report of the Auditors.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF PHOENIX 2021 LIMITED

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in a Report of the Auditors and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Neil Whittingham BA(Hons) FCA ATT (Senior Statutory Auditor)
for and on behalf of NRB
1st Floor Waterside House
Waterside Drive
Wigan
Lancashire
WN3 5AZ

28 February 2023

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2022

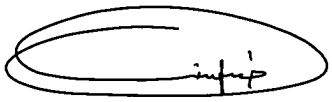
	Notes	Operations excluding player trading	Player trading	Year ended 30th June 2022	Period ended 30th June 2021
		£	£	£	
TURNOVER	3	8,307,734	-	8,307,734	705,161
Cost of sales		766,602	-	766,602	(6,222)
GROSS PROFIT		7,541,132	-	7,541,132	711,383
Administrative expenses		17,507,506	544,786	18,052,292	2,267,731
Other operating income		-	-	-	17,874
OPERATING LOSS	5	(9,966,374)	(544,786)	(10,511,160)	(1,538,474)
Profit on sale of intangible fixed assets	6	-	2,849,598	2,849,598	916,279
Interest receivable and similar income		-	-	-	-
(LOSS)/ PROFIT BEFORE TAXATION		(9,966,374)	2,304,812	(7,661,562)	(622,195)
Tax on loss	7			-	-
LOSS FOR THE PERIOD				(7,661,562)	(622,195)
OTHER COMPREHENSIVE INCOME				-	-
TOTAL COMPREHENSIVE LOSS FOR THE PERIOD				**(7,661,562)**	(622,195)

The notes form part of these financial statements

BALANCE SHEET
30 JUNE 2022

	Notes	30.6.22 £	30.6.22 £	30.6.21 £	30.6.21 £
FIXED ASSETS					
Intangible assets	8		1,298,434		653,556
Tangible assets	9		1,963,651		1,765,409
			3,262,085		2,418,965
CURRENT ASSETS					
Stocks	10	231,403		71,815	
Debtors	11	2,255,099		1,415,508	
Cash at bank and in hand		263,064		1,035,681	
		2,749,566		2,523,004	
CREDITORS					
Amounts falling due within one year	12	5,737,212		1,648,267	
NET CURRENT (LIABILITIES)/ASSETS			(2,987,646)		874,737
TOTAL ASSETS LESS CURRENT LIABILITIES			274,439		3,293,702
CREDITORS					
Amounts falling due after more than one year	13		85,236		186,754
NET ASSETS			189,203		3,106,948
CAPITAL AND RESERVES					
Called up share capital	14		8,472,960		3,729,143
Retained earnings	15		(8,283,757)		(622,195)
SHAREHOLDERS' FUNDS			189,203		3,106,948

The financial statements were approved by the Board of Directors and authorised for issue on 28 February 2023 and were signed on its behalf by:



Mr T Al Hammad - Chairman

The notes form part of these financial statements

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2022

	Called up share capital £	Retained earnings £	Total equity £
Changes in equity			
Deficit for the period	-	(622,195)	(622,195)
Total comprehensive loss	-	(622,195)	(622,195)
Issue of share capital	3,729,143	-	3,729,143
Balance at 30 June 2021	3,729,143	(622,195)	3,106,948
Changes in equity			
Deficit for the year	-	(7,661,562)	(7,661,562)
Total comprehensive loss	-	(7,661,562)	(7,661,562)
Issue of share capital	4,743,817	-	4,743,817
Balance at 30 June 2022	8,472,960	(8,283,757)	189,203

The notes form part of these financial statements

CASH FLOW STATEMENT
FOR THE YEAR ENDED 30 JUNE 2022

	Notes	Year Ended 30.6.22 £	Period 27.1.21 to 30.6.21 £
Cash flows from operating activities			
Cash generated from operations	1	(6,847,946)	(158,484)
Net cash from operating activities		(6,847,946)	(158,484)
Cash flows from investing activities			
Purchase of intangible fixed assets		(1,232,750)	(755,859)
Purchase of tangible fixed assets		(285,336)	(1,779,119)
Sale of intangible fixed assets		2,849,598	-
Net cash from investing activities		1,331,512	(2,534,978)
Cash flows from financing activities			
Share issue		4,743,817	3,729,143
Net cash from financing activities		4,743,817	3,729,143
(Decrease)/increase in cash and cash equivalents		(772,617)	1,035,681
Cash and cash equivalents at beginning of year	2	1,035,681	-
Cash and cash equivalents at end of year	2	263,064	1,035,681

The notes form part of these financial statements

NOTES TO THE CASH FLOW STATEMENT FOR THE YEAR ENDED 30 JUNE 2022

1. RECONCILIATION OF LOSS BEFORE TAXATION TO CASH GENERATED FROM OPERATIONS

	Year Ended 30.6.22 £	Period 27.1.21 to 30.6.21 £
Loss before taxation	(7,661,562)	(622,195)
Depreciation charges	674,966	116,013
Profit on disposal of fixed assets	(2,849,598)	-
	(9,836,194)	(506,182)
Increase in stocks	(159,588)	(71,815)
Increase in trade and other debtors	(839,591)	(1,415,508)
Increase in trade and other creditors	3,987,427	1,835,021
Cash generated from operations	(6,847,946)	(158,484)

2. CASH AND CASH EQUIVALENTS

The amounts disclosed on the Cash Flow Statement in respect of cash and cash equivalents are in respect of these Balance Sheet amounts:

Year ended 30 June 2022

	30.6.22 £	1.7.21 £
Cash and cash equivalents	263,064	1,035,681

Period ended 30 June 2021

	30.6.21 £	27.1.21 £
Cash and cash equivalents	1,035,681	-

3. ANALYSIS OF CHANGES IN NET FUNDS

	At 1.7.21 £	Cash flow £	At 30.6.22 £
Net cash			
Cash at bank and in hand	1,035,681	(772,617)	263,064
	1,035,681	(772,617)	263,064
Total	1,035,681	(772,617)	263,064

The notes form part of these financial statements

1. STATUTORY INFORMATION

Phoenix 2021 Limited is a private company, limited by shares, registered in England and Wales. The company's registered number and registered office address can be found on the Company Information page.

2. ACCOUNTING POLICIES

Basis of preparing the financial statements
These financial statements have been prepared in accordance with the Financial reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and the Companies Act 2006. The financial statements have been prepared under the historical cost convention.

These financial statements have been prepared on the basis that the company continues to be a going concern.

The company recorded a net loss of £7,661,562 after profit on player trading of £2,849,598 during the period ended 30 June 2022 and had net assets of £189,203 at that date.

The following actions have been taken by the directors to manage the working capital requirements of the company:

- Profit and Loss and cashflow forecasts have been completed for the period ending 30 June 2024, which indicate that subject to the cost level of player purchases and sales, any pre taxation losses will be capable of being financed by funding provided by the ultimate controlling party. Written support has been provided which covers a period of over 12 months from the date of these accounts.

On that basis, the directors believe the company has adequate resources to continue in operational existence for the foreseeable future. The directors consider it to be reasonable to rely on funding from the ultimate controlling party to provide the working capital requirements of the company and that it is therefore appropriate to prepare the financial statements on a going concern basis.

The financial statements include the results of the company's principal activity described in the report of the directors, which is continuing.

Significant judgements and estimates
Preparation of the financial statements requires management to make significant judgements and estimates. The items in the financial statements where these judgements and estimates have been made include:

(a) Impairment of assets
The carrying value of the company's assets are reviewed annually to determine any indication of impairment. If there is any indication of impairment, the recoverable amount of any affected asset is estimated and compared with its carrying amount.

(b) Useful economic lives
The useful economic lives of assets are assessed on an annual basis based on the latest available information. Management believe that the useful economic lives being used currently are still appropriate.

continued...

2. ACCOUNTING POLICIES - continued

Turnover
Turnover represents income receivable from the company's principal activity of operating a professional football club and is net of value added tax. Match day revenue is recognised over the period of the football season as matches are played. Sponsorship and other similar commercial income are recognised over the period of the respective contract. The fixed element of broadcasting revenues and other central distributions are recognised over the duration of the football season whilst facility fees for live coverage or highlights are recognised as matches are played.

Player registration fees, signing on fees and agent fees
Transfer fees for player registrations are capitalised as intangible fixed assets and are amortised on a straight line basis over the period of the respective player contracts.

The net book value of player registrations are assessed on an annual basis and any impairment losses arising are recognised in the financial statements in the period in which they arose. Any estimated surpluses are not accounted for. The profit or loss arising on the sale of a player registration is calculated after charging any unamortised registration fees and any further fees which become payable as a result of the sale.

Player signing on fees are recognised in the financial statements as salaries and wages in the period during which the payment has been made.

Agent fees are expensed to the financial statements in the accounting period in which they are incurred.

Goodwill
Goodwill is recognised at initial cost and is being amortised over the estimate useful life which is deemed to be 10 years.

Tangible fixed assets
Tangible fixed assets are stated at cost less depreciation and any impairment losses.

Depreciation is provided at the following annual rates in order to write off the cost less estimated residual value of each asset over its useful economic life:

Long Leasehold Property	-	Over life of lease
Fixtures and Fittings	-	10% on Cost
Motor Vehicles	-	20% on Cost

Impairment of tangible fixed assets
At each reporting date fixed assets are reviewed to determine whether there is any indication that those assets have suffered an impairment loss. If there is an indication of a possible impairment, the recoverable amount of any asset is estimated and compared with its carrying amount. If the recoverable amount is lower, the carrying amount is reduced to its recoverable amount and an impairment loss is recognised immediately in the profit and loss account.

If an impairment loss is subsequently reversed, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but not to exceed the amount that would have been determined had no impairment loss been recognised for the asset in prior periods. A reversal of an impairment loss is recognised immediately in the profit and loss account.

Stocks
Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

Financial instruments
Short term financial assets, including trade debtors and debtors arising from player transfers, are measured at transaction price less any impairment.

Short term financial liabilities, including trade creditors, creditors arising from player transfers and bank loans, are measured at transaction price.

Financial assets and liabilities payable after one year are initially measured at fair value and are subsequently measured at amortised cost using the interest rate method.

continued...

2. ACCOUNTING POLICIES - continued

Taxation

Taxation for the year comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

Current or deferred taxation assets and liabilities are not discounted.

Current tax is recognised at the amount of tax payable using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date.

Timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the year end and that are expected to apply to the reversal of the timing difference.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Foreign currencies

Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Hire purchase and leasing commitments

Rentals paid under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

Pension costs and other post-retirement benefits

The company operates a defined contribution pension scheme. Contributions payable to the company's pension scheme are charged to profit or loss in the period to which they relate.

Repairs and ground maintenance

All expenditure is written off as incurred.

Going concern

The directors acknowledge that, in common with many football clubs in the EFL, the company is likely to incur future losses and net cash outflows.

In considering the appropriateness of preparing these accounts on a going concern basis, the directors have considered the future working capital requirements of the company.

In doing so the directors have determined that additional funding will be required to enable the company to continue its operational existence.

The company is dependent on financial support from its ultimate controlling party Mr Abdulrahman Al Jasmi.

Mr Al Jasmi has ultimate control by way of his shareholding in Europa Point Investment Corporation Limited, a company registered in Gibraltar, the parent company of Phoenix 2021 Limited.

The written support covers a period of over 12 months from the date of these accounts.

The directors acknowledge that this support is not legally binding.

continued...

3. TURNOVER

The turnover and loss before taxation are attributable to the one principal activity of the company.

An analysis of turnover by class of business is given below:

	Year Ended 30.6.22	Period 27.1.21 to 30.6.21
	£	£
Premier League distributions	1,220,000	176,250
Stadium Hire/rental Charges	657,774	99,714
Academy Grants	830,325	203,418
EFL central distributions	947,063	65,690
Sponsorship, commercial	1,100,010	11,690
Match/Season/Cup Tickets	2,232,078	-
Retail income	605,191	65,056
Other income	352,164	83,343
Cup Broadcasting	69,500	-
Cup Prize Money	293,629	-
	8,307,734	705,161

4. EMPLOYEES AND DIRECTORS

	Year Ended 30.6.22	Period 27.1.21 to 30.6.21
	£	£
Wages and salaries	11,677,771	1,381,916
Social security costs	1,330,930	125,291
	13,008,701	1,507,207

The average number of employees during the year was as follows:

	Year Ended 30.6.22	Period 27.1.21 to 30.6.21
First team players	26	19
Academy players	32	26
Coaching and medical staff	18	7
Academy coaching and medical staff	61	35
Administration and support staff	58	38
Matchday staff	46	25
	241	150

	Year Ended 30.6.22	Period 27.1.21 to 30.6.21
	£	£
Directors' remuneration	266,288	68,693

continued...

4. EMPLOYEES AND DIRECTORS - continued

Information regarding the highest paid director for the year ended 30 June 2022 is as follows:

	Year Ended 30.6.22
	£
Emoluments etc	183,400

5. OPERATING LOSS

The operating loss is stated after charging:

	Year Ended 30.6.22	Period 27.1.21 to 30.6.21
	£	£
Other operating leases	248,422	58,764
Depreciation - owned assets	87,094	13,710
Goodwill amortisation	43,086	10,771
Player and management registration fees amortisation	544,786	91,532
Auditors' remuneration	8,000	7,000

6. EXCEPTIONAL ITEMS

	Year Ended 30.6.22	Period 27.1.21 to 30.6.21
	£	£
Profit/loss on sale of intangible fixed assets	2,849,598	916,279

7. TAXATION

No liability to UK corporation tax arose in either of the periods ended 30 June 2021 or 2022.

A deferred tax asset has not been recognised in respect of timing differences relating to tax trading losses as there is insufficient evidence that the asset will be recovered.

continued...

8. INTANGIBLE FIXED ASSETS

	Goodwill £	Player and management registration fees £	Totals £
COST			
At 1 July 2021	430,859	325,000	755,859
Additions	-	1,232,750	1,232,750
At 30 June 2022	430,859	1,557,750	1,988,609
AMORTISATION			
At 1 July 2021	10,771	91,532	102,303
Amortisation for year	43,086	544,786	587,872
At 30 June 2022	53,857	636,318	690,175
NET BOOK VALUE			
At 30 June 2022	377,002	921,432	1,298,434
At 30 June 2021	420,088	233,468	653,556

9. TANGIBLE FIXED ASSETS

	Long leasehold £	Fixtures and fittings £	Motor vehicles £	Office Equipment £	Totals £
COST					
At 1 July 2021	1,352,119	407,000	20,000	-	1,779,119
Additions	-	248,132	-	37,204	285,336
At 30 June 2022	1,352,119	655,132	20,000	37,204	2,064,455
DEPRECIATION					
At 1 July 2021	2,535	10,175	1,000	-	13,710
Charge for year	10,140	65,513	4,000	7,441	87,094
At 30 June 2022	12,675	75,688	5,000	7,441	100,804
NET BOOK VALUE					
At 30 June 2022	1,339,444	579,444	15,000	29,763	1,963,651
At 30 June 2021	1,349,584	396,825	19,000	-	1,765,409

10. STOCKS

	30.6.22 £	30.6.21 £
Souvenirs and goods for resale	231,403	71,815

continued...

11. DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	30.6.22	30.6.21
	£	£
Trade debtors	110,734	73,421
Debtors arising from player transfers	1,469,008	1,119,000
Amounts owed by group undertakings	204,262	-
Other debtors	126,665	985
Prepayments and accrued income	344,430	222,102
	2,255,099	1,415,508

12. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	30.6.22	30.6.21
	£	£
Trade creditors	929,231	183,911
Creditors arising from player transfers	706,792	55,000
VAT	193,340	108,450
Other creditors	312,547	466,116
Accruals and deferred income	3,595,302	834,790
	5,737,212	1,648,267

13. CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

	30.6.22	30.6.21
	£	£
Other creditors	85,236	186,754

14. CALLED UP SHARE CAPITAL

Allotted, issued and fully paid:

Number:	Class:	Nominal value:	30.6.22	30.6.21
			£	£
8,472,960	Ordinary	£1	8,472,960	3,729,143

Share capital of £4,743,817 was issued during the period and all such issues were at par value.

15. RESERVES

	Retained earnings
	£
At 1 July 2021	(622,195)
Deficit for the year	(7,661,562)
At 30 June 2022	(8,283,757)

continued...

16. CONTROLLING PARTY

The company's ultimate parent company is Europa Point Investment Corporation Limited, a company registered in Gibraltar.

The directors consider the ultimate controlling party to be Abdulrahman Al Jasmi who controls a majority shareholding in Europa Point Investment Corporation Limited.

17. POST BALANCE SHEET EVENTS

On 10th February 2023 the company issued additional share capital of £8,020,499. This takes the total amount of share capital Issued to £16,493,459.